

you've also taken vacations and lived like a king! In the next chapter, we'll see about early retirement and talk about something more important than money: time!

### **Bringing it together**

#### **1) Why to invest and not just save?**

- To buy the cup of tea (costing ₹ 7), ₹ 7 must be invested and our after-tax returns have to be at least 10%.
- Historically expense-inflation has occurred at 8-9%. Saving in bank's FD or RD won't give you matching returns.
- When we are unemployed or looking to retire, sinister inflation will eat our purchasing power.
- Investing is the only solution to catch up with the inflation rates in India.

#### **2) What are the options when investing?**

Options to invest are divided into 4: Equity, Bonds, Real estate and Gold

- Direct Equity is too risky and volatile. Plus, a lot of research work is needed.
- Bonds have a fixed income but sub-perform expense-inflation.
- It's better if we consider Real Estate as an expense rather than an investment - restricts flexibility and we are caught in the web of EMIs.
- Gold underperforms with negative returns for large portions and then monster-performs for large portions. Too much volatility and unassured returns make Gold an unreliable option.

#### **3) Which investment instrument to choose in-line with our 80-20 lifestyle?**

- Mutual funds are headed by a fund manager who buys a bunch of securities that is elicited in the prospectus. It can be anything from stock, bond, commodities like gold, or even real estate.
- To reduce the dependence on the fund manager's picks, we can choose to invest in an index fund. An index is a collection of